Haem.io

Use of Funds - Seed Investment

Executive Summary

TOTAL INVESTMENT	RUNWAY	KEY MILESTONE
£750,000	**18 Months**	**Class I + Pilots**
Seed Round	To Series A readiness	4 NHS validations complete

Investment Purpose

This £750k seed investment provides an 18-month runway to achieve Class I registration as a clinical decision support device, complete 4 NHS pilot study validations, and secure first commercial contracts. These milestones position Haem.io for a successful Series A fundraising round (£2M-£3M) in Q2-Q3 2027, with a target valuation of £8M-£12M pre-money.

Detailed Use of Funds Breakdown

1. Team & Personnel (48% - £360,000)

Founder & Engineer — £165,000

Full-time founder salary and engineering work (18 months)

Compliance Officer — £105,000

Regulatory affairs specialist for Class I registration process (18 months)

Clinical Validation Lead — £90,000

Manages NHS pilot studies, clinical validation, and data collection (18 months)

Subtotal: £360,000

Rationale: Our team structure balances technical development (founder engineer), regulatory expertise (compliance officer), and clinical validation (clinical lead). This ensures we can simultaneously progress Class I registration while running NHS pilot studies and maintaining platform development.

2. Regulatory & Clinical Validation (24% - £180,000)

Class I Registration — £100,000

Notified body fees, technical file preparation, clinical evaluation, performance studies, audit costs

4 NHS Pilot Studies — £80,000

Manchester Foundation Trust, The Christie NHS, Royal Devon & Exeter, UK AML Research Network (coordination, data collection, validation reports)

Subtotal: £180,000

Rationale: Class I registration is the critical regulatory milestone that enables commercial sales. The 4 NHS pilot studies provide clinical validation data and establish relationships with key NHS trusts, creating a pipeline for post-certification sales. Both are essential for Series A readiness.

3. Infrastructure & Operations (28% - £210,000)

Cloud & AI Compute — £15,000

AWS/Azure infrastructure, LLM API costs, data storage, development environments (18 months)

Legal & Accounting — £25,000

Corporate legal, contract review, accounting services, tax compliance, SEIS/EIS advance assurance

Insurance & Professional Fees — £15,000

Professional indemnity insurance, medical device liability insurance, professional advisors

Office & Equipment — £20,000

Co-working space, laptops, development hardware, office supplies

Marketing & Business Development — £15,000

Conference attendance, NHS trust presentations, investor materials, website, branding

Contingency Buffer — £120,000

24% buffer for unexpected costs, regulatory delays, or scope changes

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Subtotal: £210,000

Rationale: Infrastructure costs are kept lean with cloud-based development. The 24% contingency buffer provides essential flexibility for regulatory timelines (which can vary), unexpected pilot study requirements, or NHS administrative delays. This buffer ensures we can complete all milestones even if timelines extend slightly.

18-Month Timeline & Milestones

Q1 2026 **Foundation Phase:** Team hiring begins (Compliance Officer, Clinical Validation Lead), regulatory strategy finalization, initial Class I documentation preparation. Monthly burn: £50k.

Q2 2026 **Team Complete:** All team members onboarded (4 founders + 2 hires). Class I registration documentation in full swing. NHS pilot study agreements finalized. Monthly burn: £50k.

Q3 2026 **Pilot Launch:** NHS pilot studies launch across 4 sites. Class I registration process formally begins with notified body engagement. Technical documentation complete. Monthly burn: £40k.

Q4 2026 **Registration Complete:** Class I self-declaration completed. Pilot studies data collection ongoing. Initial clinical validation results emerging. Monthly burn: £40k. Cash remaining: £210k.

Q1 2027 **Certification Progress:** Class I registration in progress (audit phase). Pilot studies wrap-up and data analysis. Clinical validation reports prepared. Monthly burn: £35k. Cash remaining: £105k.

Q2 2027 **Milestone Achievement: Class I registration received.** Pilot validation reports published. **Series A fundraising begins (£2M-£3M target).** Cash reaches £0 → Series A closes to fund next phase.

Key Milestones at 18 Months

Series A Readiness Criteria

- ✓ **Class I registration complete** - Enables commercial sales
- ✓ **4 NHS pilot validations published** - Clinical proof of concept
- ✓ **First 2-3 contracts signed** - Commercial validation (Q4 2027)
- ✓ **Team proven** - Regulatory, clinical, and technical capabilities demonstrated
- ✓ **Clear path to revenue** - Contracts signed, revenue recognition begins Q3 2027

These milestones position Haem.io for a successful Series A fundraising round with significantly de-risked commercial and regulatory pathways. The combination of regulatory approval, clinical validation, and signed contracts demonstrates both product-market fit and execution capability.

Burn Rate Analysis

Phase	Months	Monthly Burn	Quarterly Spend	Cumulative Spend
Foundation	Q1-Q2 2026	£50k	£150k	£300k
Pilot & Certification	Q3-Q4 2026	£40k	£120k	£540k
Final Push	Q1-Q2 2027	£35k	£105k	£645k
Contingency	Buffer	—	—	£105k remaining

Note: Burn rate decreases over time as one-time costs (Class I registration, pilot setup) are front-loaded. The variable burn rate reflects this phased approach, with higher costs in early quarters for team onboarding and regulatory setup, then decreasing as processes mature.

Risk Mitigation & Contingency

Contingency Buffer Usage (24% - £120k)

The £120k contingency buffer provides flexibility for:

- **Regulatory timeline delays:** Class I registration can take longer than expected if notified body requires additional evidence or clarification
- **Pilot study scope changes:** NHS trusts may request additional validation endpoints or extended study periods
- **NHS administrative delays:** Contract negotiations or pilot study approvals may take longer than anticipated
- **Unexpected technical requirements:** Additional security audits, data residency requirements, or integration needs
- **Team scaling needs:** If we need to accelerate hiring or bring in specialist consultants

Contingency Management: We will track contingency usage monthly and report to investors. Any unused contingency at 18 months will extend runway or accelerate Series A milestones.

Post-Seed: Series A Readiness

Upon completion of the 18-month seed runway, Haem.io will be positioned for Series A fundraising with:

- **Regulatory approval:** Class I registration enables immediate commercial sales
- **Clinical validation:** 4 NHS pilot studies provide proof of clinical utility and safety
- **Commercial traction:** First contracts signed (Q2 2027), revenue recognition beginning Q3 2027
- **Proven team:** Demonstrated ability to execute on regulatory, clinical, and commercial milestones
- **Clear growth path:** Pipeline of NHS trusts, pharma grant funding (~£210k in discussions), and international expansion opportunities

Series A Target: £2M-£3M in Q2-Q3 2027, at a valuation of £8M-£12M pre-money. Funds will be used for sales team expansion, international expansion (EU, Middle East), and product development (additional blood cancer types, treatment response tools).

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This use of funds breakdown is based on current regulatory timelines, NHS pilot study requirements, and conservative cost estimates. Actual spending may vary based on execution speed and market conditions.